- Experience and intuition enhance forecast accuracy.

As we have shown thus far in this book, the assumptions underlying the expert's hypothesis are empirically invalid: “Soft,” or qualitative, information doesn't enhance forecasting ability; more information doesn't enhance forecasting ability; and experience doesn't enhance forecasting ability.

Systematic models work because the human mind is reliably unreliable.

Let us push crushing reality aside for a moment, and make the claim that most of us can be truly evidence-based decision makers who are not influenced by stories that capture our imagination and impact our decision-making ability. If we are truly empirical-based individuals, the evidence overwhelmingly suggests that we should all be using models and other algorithms to implement and execute decisions, rather than relying on experts.

But who is ready to concede that a machine is better at making decisions? You are probably like us: The idea of scrapping our years of hard-won experience is awfully hard to swallow.

Humans naturally seek to fulfill what Maslow—famous for developing the human hierarchy of needs[15]—calls our innate need for esteem and self-actualization. We want to feel that our opinions and judgment matter. Recognizing the fact that simple models outperform experts directly challenges our self-directed desire to achieve goals, gain confidence, and feel a sense of achievement. We want to feel like our efforts are worthwhile, but we often devote little effort to understanding if our frenetic activity actually adds value.

Consider the act of banging one's head against the wall for 10 hours a day, seven days a week. Banging your head against the wall involves a lot of activity, but because the outcome of this activity is clearly “bad,” it is easy to know that this focused effort is a waste of time. However, what if we are spending 10 hours a day reading SEC filings of companies? Is this intense activity valuable? Are we learning anything that is actually helping us to make better stock picks? A lot of investors assume it is, but have they ever systematically reviewed this assumption? Maybe this, or other, so-called “value-add” activities performed by experts is equivalent to banging one's